

Standard Chartered Plc (HK) (2888)

Top pick among Greater China banks on the back of double-digit EPS growth and superior total return

STAN is our top pick among Greater China banks for the following reasons. **First**, post a strong 3Q print ([link](#)) and takeaway from investor meetings with CFO Diego De Giorgi (with key highlight below), we raise EPS by 3-6% for FY25E-27E, driven by stronger revenue and lower provisions. Our Dec-26 PT thus rises to HK\$190. We also introduce our FY28 estimates with 13% EPS growth and adjusted ROTE of 14%. **Second**, with our new estimates, implied 26E total return (div + buyback) is 7.5%, the highest among our covered banks in Greater China. **Third**, there could be upside to non-NII estimates, driven by Wealth and Markets businesses, leading to 14.0% FY26E ROTE (vs the base case of 13.5%). **Fourth**, we expect STAN to obtain approval for a stablecoin issuance license in HK via its subsidiary Anchorpoint, positive for trading sentiment. We stay OW with the stock trading at an FY26E 8.6x P/E, 0.9x P/BV, and 11.7% adj. ROE.

- **We forecast total income growth of 7%/3%/4%/4% for FY25-FY28 respectively, with an FY25E-28E EPS CAGR of 10%:** We expect flattish NII in 4Q25, and then -1% y/y in FY26, with the Group's currency-weighted average curve now expected at 285bps in FY26, -55bps y/y. We expect NII growth to be ~3% for FY27/28, largely driven by volume growth. We see 4Q non-NII at +6% y/y and a slower pace compared to 9M25 (+15% y/y) given the stronger base in 4Q24 particularly in Markets. Then we expect ~6% y/y each year for FY26-28, driven mainly by wealth (FY26E-28E CAGR of 9%).
- **Upside to non-NII vs our base case:** Wealth fee growth was over 20% in both 2024 and 2025E, with new net money growth annualized at 15% for FY25E vs the structural rate of 8%-9%. On Markets, the flow income growth was 17% y/y in 9M25, with 2019-24 CAGR of 10%. We estimate 9% in FY26, then 8% each in FY27/FY28, with episodic income at \$0.9bn in FY26, \$0.8/\$0.6bn for FY27/28 vs \$0.7-1.1bn from 2019 to 9M25 annualized.
- **Plausible bull-case ROTE could reach 14%:** In our base case, we estimate FY25 ROTE at 13.8%, then trend down to 13.5% in FY26 and 13.8%/14.0% for 27e/28e. Nonetheless, we see upside risk to our estimates. Table 3 shows that if we assume: a) Wealth growth to be 18% (vs base case FY26E 11%, and 9M25 25% y/y); b) Market flow income at 12% (vs base case FY26E 9%, and 9M25 17% y/y) and no change to episodic (\$0.9bn) vs our base case; c) credit cost to be 25bps (vs base case FY26E 26bps and 9M25 annualized 21bps), then FY26E ROTE would be 14.0%.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

2888.HK, 2888 HK

Price (03 Nov 25): HK\$160.60

▲ **Price Target (Dec-26): HK\$190.00**
Prior (Dec-26): HK\$168.00

Hong Kong

Banks & Financial Services

Katherine Lei ^{AC}

(852) 2800-8552

katherine.lei@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Lincoln Yu

(852) 2800 8523

lincoln.yu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Haomin Chen

(86-21) 6106 6347

haomin.chen@jpmorgan.com

SAC Registration Number: S1730524080002

J.P. Morgan Securities (China) Company Limited

Kian Abouhossein

(44-20) 7134-4575

kian.abouhossein@jpmorgan.com

J.P. Morgan Securities plc

Sheel Shah, CFA

(44-20) 7134-8455

sheel.shah@jpmorgan.com

J.P. Morgan Securities plc

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (\$)	2.13	2.25
Adj. EPS - 26E (\$)	2.26	2.39

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1			
Q2			
Q3			
Q4			
FY	1.51	2.25	2.39

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	45	30	26	32	36
Growth	53	35	16	26	72
Momentum	21	7	14	13	81
Quality	86	62	53	59	96
Low Vol	32	35	26	54	62

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 2888.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	68.1%	5.2%	13.7%	77.5%
Rel	37.7%	8.9%	6.9%	50.3%

Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	160.60-86.25
Market cap (\$ mn)	47,993
Exchange rate	7.77
Free float (%)	100.0%
3M ADV (mn)	1.09
3M ADV (\$ mn)	20.7
Volatility (90 Day)	27
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	11,096	10,992	10,922	11,237
Non interest income	8,305	9,756	10,377	10,964
Operating expenses	(11,790)	(12,244)	(12,400)	(12,722)
Adj. PPOP	7,611	8,504	8,899	9,479
Provision for loan losses	(557)	(776)	(938)	(1,136)
Adj. PBT	6,516	7,801	8,045	8,425
Adj. net income	3,930	5,239	5,260	5,567
Adj. EPS	1.51	2.25	2.39	2.68
BBG EPS	-	-	-	-
DPS	0.37	0.43	0.46	0.51
Loans	281,032	288,181	296,785	308,568
Deposits	464,489	528,109	544,836	564,572
Total Assets	849,688	879,725	906,230	942,453
Margins and Growth				
NIM	2.1%	2.0%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	60.5%	54.6%	54.5%	54.7%
NPL / Loans	2.2%	2.1%	2.0%	2.0%
Coverage	63.6%	63.6%	63.6%	63.6%
CET 1	14.2%	14.0%	13.8%	13.9%
Non-int. income/ Income	42.8%	47.0%	48.7%	49.4%
Cost/Income	60.8%	59.0%	58.2%	57.3%
LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.4%)
ROA	0.5%	0.6%	0.6%	0.6%
ROE	8.8%	11.6%	11.3%	11.5%
Valuation				
Dividend yield	1.8%	2.1%	2.2%	2.4%
Adj. P/E	13.7	9.2	8.7	7.7
P/ BV	1.1	1.0	0.9	0.8

Summary Investment Thesis and Valuation

We see StanChart as undervalued relative to its sector/EM peers at 1.1x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in '25-26E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE reaching 13.8%/13.5% in FY25E/26E. Capital remains strong; we forecast distributions of ~\$10.9bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk, although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Our Dec-26 PT of HK\$190 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.0x. Our key assumptions are a normalized ROE of 9.9% and a cost of capital of 8.9%.

Performance Drivers

Market	28%
Region	2%
Macro	23%
Style	5%
Idiosyn.	41%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.74	0.53
Region: Hong Kong	0.18	0.13
Macro:		
HSI Volatility Index	-0.76	-0.48
US 10 Year Yield	-0.42	-0.33
Generic 1st 'CO' Future	0.09	0.28
Quant Styles:		
Quality	0.03	-0.25
Growth	-0.03	0.10
DivYld	0.19	-0.10

Feedback from management meetings

- **Competition in the Wealth segment:** The Affluent segment is typically low cost to service, low cost to acquire and anchored to a core product (e.g. mortgage, life insurance). Therefore, competition in the Affluent segment is largely against DBS, Citi and HSBC rather than UBS e.g. who StanChart competes with more in the Private Banking segment, or more local-focused players. New to bank customers continue to be dominated by international clients (e.g. global Chinese/Indians) with a slightly higher skew towards \$1-10M AUM compared to previous trends, supported by underlying structural trends such as growth in the middle-class. *The Group has seen net new money at a c15% annualised rate, compared to the structural rate of growth in the market at 8-9%.*
- **Markets flow income growth to continue:** Flow income is expected to represent a higher proportion of total Markets income, with a priority to increase wallet share with clients through an expansion of the product offering by geography and product classes, particularly with Financial Institutions but also in Corporate opportunities. Episodic income is expected to be volatile but linked to capital markets, as the Banking business continues to grow (e.g. more opportunities for Markets deals such as rates/inflation hedging on the back of Banking deals).
- **Key moving parts to NII include:** 1) Rate sensitivity with forward rates indicating 11bps lower compared to previous forecasts; 2) Pass through management, particularly in the CIB where betas are higher than guidance, driven by assertive management and a high level of liquidity in the market; 3) Volumes, following a strong +4% YTD performance and above expectations; 4) Management actions to manage mix with a focus on Retail CASA deposits (and time deposits for a feeder into Wealth), and customer assets instead of Treasury assets; and 5) Portfolio exits. The Group's hedge is expected to continue to grow but faces limitations such as the availability of instruments, while the duration is unlikely to change.
- **Low impairments reflect management actions** with the business exiting Retail products such as credit cards and personal loans (e.g. India) unless they are part of a broader banking relationship (e.g. Wealth), and CIB business more focused towards Financial Institutions which are lower risk vs Corporates.
- **Capital deployment between divisions:** The Group is committed to improving returns in the CIB through increased network business and greater gearing to Financial Institutions which offers ROE accretion. On the other hand, capital deployment in the Affluent business is more client-led and is also trending towards capital-light Wealth-based revenues, and therefore creates limited scope for a re-balancing of capital allocation between divisions.
- **CET1 targets following P2A reduction:** The Group saw a 22bps reduction in its P2A requirements with management commenting that this in isolation doesn't shift their capital target range of 13-14%, given the Group is also subject to external capital volatility (e.g. FVOCI and FX movements). The Group acknowledges a higher margin over MDA, and stronger & more sustainable profits, although balances this with the external perception of a strong CET1 (including from the public) and rating agency benefits.

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Estimate changes

We increase EPS by 3-6% for FY25E-27E following the strong 3Q print and takeaway from investor meeting with CFO Diego De Giorgi, driven by stronger revenue and lower provisions. As a result, our Dec-26 PT rises to HK\$190 from HK\$168. We also introduce our FY28 estimates, with 13% EPS growth and adj. ROTE of 14.0%.

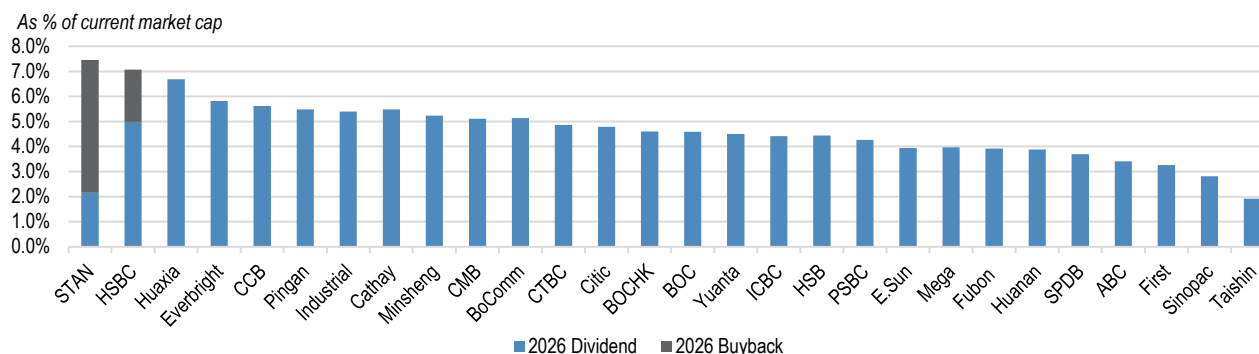
Table 1: Key estimate changes

	FY25E new	FY25E old	% Δ	FY26E new	FY26E old	% Δ	FY27E new	FY27E old	% Δ
Net Interest Income	10,992	10,825	2%	10,922	10,694	2%	11,237	10,965	2%
Non Interest Income	9,756	9,635	1%	10,377	10,396	0%	10,964	10,920	0%
Total Income	20,748	20,459	1%	21,299	21,091	1%	22,201	21,885	1%
Operating Costs	-12,244	-12,276	0%	-12,400	-12,385	0%	-12,722	-12,536	1%
Pre Provision Operating profit	8,504	8,183	4%	8,899	8,706	2%	9,479	9,349	1%
Loan Impairments	-776	-902	-14%	-938	-1,201	-22%	-1,136	-1,264	-10%
Other Impairments	-33	-50		-20	-50		-20	-60	
Income from Associates	105	110	-5%	104	90	16%	102	89	15%
PBT (ex one offs)	7,801	7,341	6%	8,045	7,544	7%	8,425	8,114	4%
Exceptionals (restructuring and litigation)	-858	-800		-750	-750		-100	-100	
PBT	6,943	6,541	6%	7,295	6,794	7%	8,325	8,014	4%
Tax expense	-1,795	-1,689	6%	-2,006	-1,868	7%	-2,275	-2,191	4%
Post tax profit	5,148	4,852		5,289	4,926		6,050	5,823	
Minority interest and AT1	-17	-17		-18	-18		-18	-18	
Preference Dividends	-528	-488		-554	-503		-565	-503	
Profit attributable	4,603	4,347	6%	4,717	4,405	7%	5,467	5,303	3%
Stated diluted EPS	1.98	1.87	6%	2.14	2.01	6%	2.63	2.56	3%
Adj diluted EPS	2.25	2.13	6%	2.39	2.26	6%	2.68	2.60	3%
DPS	0.43	0.41	3%	0.46	0.44	5%	0.51	0.47	8%
Buybacks (m)	2800	2800		2500	2300		2500	2000	
NAVps	17.1	17.2	-1%	18.5	18.7	-1%	20.6	20.7	-1%
Adj RoNAV	13.8%	13.0%		13.5%	12.6%		13.8%	13.3%	
CET1 ratio FL	14.0%	13.9%		13.8%	13.8%		13.9%	14.0%	
Loans	351,289	351,895	0%	361,776	360,344	0%	376,140	373,362	1%
Loan growth	3.5%	3.6%	-18bps	3.0%	2.4%	58bps	4.0%	3.6%	36bps
NPL ratio	2.1%	2.2%	-9bps	2.0%	2.2%	-12bps	2.0%	2.1%	-12bps
Cost of Risk (loan impairment/avg assets)	-9bps	-10bps	1bps	-11bps	-13bps	3bps	-12bps	-14bps	1bps
Credit cost (loan impairment/avg gross loans incl. FVPL)	-22bps	-26bps	4bps	-26bps	-34bps	8bps	-31bps	-34bps	3bps

Source: J.P. Morgan estimates.

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Figure 1: Total shareholder return of large cap Greater China banks



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: We only include banks with market cap above US\$10bn.

Table 2: Summary of key estimates

Key IS & BS items	STAN Group, US\$mn	2023	2024	2025E	2026E	2027E	2028E
	NII	10,257	11,096	10,992	10,922	11,237	11,566
	Non NII	7,121	8,305	9,756	10,377	10,964	11,573
	o.w. Wealth	1,944	2,490	3,079	3,425	3,754	4,096
	o.w. Markets	3,049	3,450	3,951	4,108	4,232	4,359
	o.w. Others	2,128	2,365	2,726	2,844	2,978	3,118
	Revenue	17,378	19,401	20,748	21,299	22,201	23,139
	Operating expense	(11,136)	(11,790)	(12,244)	(12,400)	(12,722)	(13,053)
	PPoP	6,242	7,611	8,504	8,899	9,479	10,086
	Loan impairments	(528)	(557)	(776)	(938)	(1,136)	(1,199)
	Other impairments	(130)	(588)	(33)	(20)	(20)	(20)
	Profit from associates	94	50	105	104	102	101
	Clean pretax profits	5,678	6,516	7,801	8,045	8,425	8,968
	B3 CET1 ratio	14.0%	14.2%	14.0%	13.8%	13.9%	14.1%
	Adj. EPS	1.20	1.51	2.25	2.39	2.68	3.03
	Total loans, gross (incl. FVTPL)	345,486	339,557	351,289	361,776	376,140	391,258
	Customer loans, net	286,975	281,032	288,181	296,785	308,568	320,970
	Customer deposits	469,418	464,489	528,109	544,836	564,572	585,232
	RWAs	244,151	247,065	261,811	273,243	285,136	297,562
	NIM	1.79%	2.06%	1.99%	1.92%	1.90%	1.88%
	Credit cost (ann)	-0.15%	-0.16%	-0.22%	-0.26%	-0.31%	-0.31%
	ROTE (underlying)	9.5%	10.7%	13.8%	13.5%	13.8%	14.0%
YoY growth	NII	29%	8%	-1%	-1%	3%	3%
	Non NII	-9%	17%	17%	6%	6%	6%
	o.w. Wealth	8%	28%	24%	11%	10%	9%
	o.w. Markets	-12%	13%	15%	4%	3%	3%
	o.w. Others	-16%	11%	15%	4%	5%	5%
	Revenue	10%	12%	7%	3%	4%	4%
	Operating expense	7%	6%	4%	1%	3%	3%
	PPoP	17%	22%	12%	5%	7%	6%
	Loan impairments	-37%	5%	39%	21%	21%	6%
	Other impairments	233%	352%	-94%	-39%	0%	0%
	Profit from associates	-44%	-47%	110%	-1%	-1%	-1%
	Clean pretax profits	22%	15%	20%	3%	5%	6%
	Exceptionals	63%	-14%	71%	-13%	-87%	0%
	PBT	19%	18%	15%	5%	14%	7%
	Taxes	18%	21%	-9%	12%	13%	6%
	PAT	19%	17%	27%	3%	14%	7%
	Minority/pref debt	25%	1%	21%	5%	2%	2%
	Attributable profit	18%	19%	28%	2%	16%	7%
BS and Ratios YoY growth	B3 CET1 ratio	-11 bps	11 bps	23 bps	-24 bps	-20 bps	11 bps
	Adj. EPS	17%	30%	25%	50%	6%	12%
	Customer loans, gross	-3%	-3%	-2%	3%	3%	4%
	Customer loans, net	4%	-8%	-2%	3%	3%	4%
	Customers deposits	-3%	2%	-1%	14%	3%	4%
	RWAs	-10%	0%	1%	6%	4%	4%
	NIM	20 bps	38 bps	27 bps	-7 bps	-7 bps	-2 bps
	Credit cost (ann)	-16 bps	8 bps	-1 bps	-6 bps	-4 bps	-4 bps
	ROTE	111 bps	200 bps	120 bps	319 bps	-39 bps	29 bps

Source: Company data, J.P. Morgan estimates.

A plausible bull case on 2026E ROTE

To assess the upside to our estimates of STAN's normalized ROTE in 2026, we conducted a scenario analysis assuming: 1) wealth income will be 18% y/y in 2026E vs 11% in our base case and 24% in 2025E; 2) growth flow income under Markets will be 12% vs 9% in our base case and 15% in 2025E; and 3) credit cost will be 25bps vs 26bps in our base case and 22bps in 2025E. Under such a case, the underlying ROTE will reach 14.0% in 2026E, ~50bps higher than in our base case.

Table 3: Bull case analysis for STAN

US\$mn	2025E	2026E	
	Base case	Base case	Bull case
Wealth income	3,079	3,425	3,633
y/y growth	24%	11%	18%
Markets income	3,951	4,108	4,196
y/y growth	15%	4%	6%
Of which: flow income	2,944	3,209	3,297
y/y growth	15%	9%	12%
Of which: episodic income	1,007	899	899
Clean revenue	20,748	21,299	21,595
Loan impairments	(776)	(938)	(891)
Credit costs	22 bps	26 bps	25 bps
Clean PBT	7,801	8,045	8,387
y/y growth	20%	3%	8%
Underlying ROTE	13.8%	13.5%	14.0%

Source: J.P. Morgan estimates. Note: Credit cost is loan impairment / average gross customer loans (incl. FVTPL).

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) *(Overweight; Price Target: HK\$190.00)*

Investment Thesis

We see StanChart as undervalued relative to its sector/EM peers at 1.1x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in '25-26E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE reaching 13.8%/13.5% in FY25E/26E. Capital remains strong; we forecast distributions of ~\$10.9bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk, although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Valuation

Our Dec-26 PT of HK\$190 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.0x. Our key assumptions are a normalized ROE of 9.1% and a cost of capital of 8.9%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement	FY23A	FY24A	FY25E	FY26E	FY27E	Balance Sheet	FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	10,257	11,096	10,992	10,922	11,237	Cash and cash equivalents	51,697	48,168	48,168	48,168	48,168
Interest expense	-	-	-	-	-	Deposits with banks	63,185	58,872	58,872	58,872	58,872
Net interest income	10,257	11,096	10,992	10,922	11,237	Net loans	286,975	281,032	288,181	296,785	308,568
Non interest income	7,121	8,305	9,756	10,377	10,964	PP&E	2,274	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	6,214	5,791	5,965	6,144	6,328
o/w Trading income	0	0	0	0	0	LT investments	359,720	404,628	427,342	445,065	469,321
Net revenues	17,378	19,401	20,748	21,299	22,201	Other assets	52,779	48,772	48,772	48,772	48,772
Non interest expense	(11,136)	(11,790)	(12,244)	(12,400)	(12,722)	Total assets	822,844	849,688	879,725	906,230	942,453
o/w Employee costs	-	-	-	-	-	Interest earning assets	415,251	400,674	408,171	417,132	429,284
Pre-Prov. Profits	6,242	7,611	8,504	8,899	9,479	Deposits	469,418	464,489	528,109	544,836	564,572
Provisions	(658)	(1,145)	(809)	(958)	(1,156)	Borrowings	62,546	66,359	66,151	65,940	65,724
Adj. PBT	5,678	6,516	7,801	8,045	8,425	Other liabilities	246,039	274,058	239,046	247,832	262,567
Income taxes	(1,631)	(1,972)	(1,795)	(2,006)	(2,275)	Total liabilities	778,003	804,906	833,306	858,607	892,863
Minority interest	7	8	(17)	(18)	(18)	Shareholder equity	44,445	44,388	46,025	47,229	49,197
Adj. Net profit	3,415	3,930	5,239	5,260	5,567	Minority interests	396	394	394	394	394
PPOP per share	2.25	2.99	3.65	4.05	4.57	Total liabilities and Shareholder equity	822,844	849,688	879,725	906,230	942,453
Reported EPS	1.06	1.38	1.98	2.14	2.63	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.20	1.51	2.25	2.39	2.68	Book Value Per Share	16.85	18.43	20.39	22.12	24.45
DPS	0.27	0.37	0.43	0.46	0.51	Tangible Book Value Per Share	13.61	14.99	17.14	18.49	20.50
Diluted shares outstanding	2,841	2,610	2,326	2,203	2,080						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	61.1%	60.5%	54.6%	54.5%	54.7%	Loan loss reserves/Loans	(1.5%)	(1.4%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	42.8%	45.7%	48.1%	48.8%	49.5%	NPLs/Loans	2.5%	2.2%	2.1%	2.0%	2.0%
Loan/Assets	37.0%	34.6%	33.5%	33.3%	33.3%	Loan loss reserves/NPLs	58.2%	61.6%	63.6%	63.6%	63.6%
Customer deposits/Liabilities	60.3%	57.7%	63.4%	63.5%	63.2%	NPL y/y growth	(7.9%)	(14.2%)	(2.0%)	1.0%	2.0%
LT debt/Liabilities	8.0%	8.1%	8.1%	7.8%	7.5%	Tier 1 ratio	16.3%	16.9%	16.5%	16.2%	16.2%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	1.8%	2.1%	2.0%	1.9%	1.9%	Return on equity (ROE)	7.8%	8.8%	11.6%	11.3%	11.5%
Non interest income/Net revenue	41.0%	42.8%	47.0%	48.7%	49.4%	Return on assets (ROA)	0.4%	0.5%	0.6%	0.6%	0.6%
Non interest income/Avg. Assets	0.9%	1.0%	1.1%	1.2%	1.2%	Operating ROA	0.7%	0.8%	0.9%	0.9%	0.9%
Efficiency ratio	64.1%	60.8%	59.0%	58.2%	57.3%	Pre-Tax ROA	0.6%	0.8%	0.8%	0.8%	0.9%
Leverage ratio	4.8%	5.0%	5.0%	5.0%	5.0%	Pre-Provision ROA	0.8%	0.9%	1.0%	1.0%	1.0%
Revenue/Assets	2.1%	2.3%	2.4%	2.4%	2.4%	Tax rate	32.0%	32.8%	25.9%	27.5%	27.3%
RORWA	1.4%	1.6%	2.1%	2.0%	2.0%						
						Net loans y/y growth	(7.6%)	(2.1%)	2.5%	3.0%	4.0%
RWA	244,151	247,065	261,811	273,243	285,136	Assets y/y growth	0.4%	3.3%	3.5%	3.0%	4.0%
Avg. RWA	244,431	245,608	254,438	267,527	279,190	RWA y/y growth	(0.2%)	1.2%	6.0%	4.4%	4.4%
Avg. IEA	418,525	407,963	404,422	412,651	423,208	Deposits y/y growth	1.7%	(1.1%)	13.7%	3.2%	3.6%
Gross Loans	292,145	285,936	292,987	301,639	313,519	Net interest income y/y growth	28.7%	8.2%	(0.9%)	(0.6%)	2.9%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	10.3%	11.6%	6.9%	2.7%	4.2%
LLR	(4,320)	(3,948)	(3,869)	(3,908)	(3,986)	Adj. EPS y/y growth	30.2%	25.3%	49.6%	6.0%	12.1%
NPLs	7,228	6,203	6,079	6,140	6,263	BVPS y/y growth	12.0%	9.4%	10.6%	8.5%	10.5%
P/BV (x)	1.2	1.1	1.0	0.9	0.8	IE assets/Assets	51.0%	48.8%	46.8%	46.2%	45.8%
Adj. P/E (x)	17.2	13.7	9.2	8.7	7.7	Margins (as % of Avg. Assets)	1.2%	1.3%	1.3%	1.2%	1.2%
Dividend yield	1.3%	1.8%	2.1%	2.2%	2.4%	LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)	(0.4%)
Dividend payout	25.4%	26.9%	21.5%	21.7%	19.2%	Equity/Assets	5.3%	5.3%	5.2%	5.2%	5.2%
						Cost/Assets	1.4%	1.4%	1.4%	1.4%	1.4%
						Assets/Equity	18.8	18.8	19.1	19.2	19.2

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Date	Rating	Price (HK\$)	Price Target (HK\$)
28-Feb-23	OW	72.50	85
18-Apr-23	OW	63.05	78
28-Apr-23	OW	61.95	80
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168

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